Study Notes

Indian Public Debt

“Blessed are the young, for they shall inherit the national debt.” — Herbert Hoover

Introduction

- The public debt is how much a country owes to it's lenders, apart from itself, like individuals, businesses, and other governments.
- The term "public debt" is often used synonymously with the term sovereign debt.
- **Public debt** refers to a part of the total borrowings by the Union Government which includes line items like market loans, special bearer bonds, treasury bills and special loans, securities issued by the Reserve Bank. It also includes the outstanding external debt.
- In India, most government debt is held in long-term interest bearing securities such as national savings certificates, rural development bonds, capital development bonds, etc.
- In indus-trially advanced countries like the U.S.A., the term government or public debt refers to the accumulated amount of what government has borrowed to finance past deficits.

Essence of public debt:

The State generally borrows from the people to finance three kinds of expenditure:

(a) **To meet budget deficit -** It is not always proper to effect a change in the tax system whenever the public expenditure exceeds the public revenue. Budget deficits are usually financed by loans if it's within limits. But if the deficit happens to be a regular feature every year, then the State decides to raise further revenue by taxation or reduce its expenditure.

(b) **To finance economic and infrastructure development** - the government borrows from the public to meet the costs of development under various infrastructure projects, which leads to an ever increasing debt; also to fund the subsidies that the government may provide for the economic development of certain regions/segments of population.

(c) **To meet the expenses of war and other extraordinary situations** - In many countries, the existing public debt is, to a great extent, on account of war expenses. A large portion of public debt in India has been incurred to nullify the expenses of the last war.

Types of Public Debt

Government loans can be classified on the basis of the time of repayment, purpose and conditions of repayment and the method of recovering the liability.

There are six major forms of public debt:

Basis of classification	Types of Debt	
Source of loan	***Internal Debt*** • Public loans floated within the country • may be voluntary or compulsory • Is controllable and can be predicted beforehand with certainty	***External Debt*** • Public borrowings from other countries, which are to be repaid at the time of maturity • normally voluntary in nature • always uncertain and cannot be estimated beforehand as it is governed by international

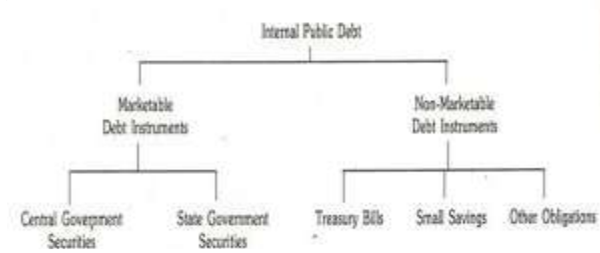
Basis of classification	Types of Debt	
	• Denominated in domestic currency	politics and foreign policies of the lending Government • denominated in foreign currencies • usually foreign exchange resources of the borrowing country increase when the loans are received in terms of foreign currencies, but the foreign exchange reserves get depleted when there is repayment of such loans, i.e., debt servicing charges etc.
Purpose of loan	***Productive Debt*** • loans that are invested in productive assets or enterprises such as railways, irrigation, multi-purpose projects etc., which yield a sufficient income to the public authority to pay out annual interest and the principal on the debt • Since the productive public debt is self-liquidating in nature, the community does not experience any net burden of such debt	***Unproductive Debt*** • The debt which does not add to the productive assets of a country • Examples: Government borrowings for miscellaneous purposes like financing a war, a lavish expenditure on public administration, etc. • Since they do not add to the productive capacity of the company, they are not self-liquidating. Hence the Government may have to resort to additional taxation for repayment purpose
Conditions of subscription and repayment for lender	***Compulsory Debt*** • Government borrowings from people using coercive methods are referred to as compulsory public debt • Under the Compulsory Deposit Scheme in India, tax-payers have to compulsorily deposit a prescribed amount, failing which, defaulters are punished.	***Voluntary Debt*** • Public borrowings are voluntary in nature. • When the government floats a loan by issuing securities, members of the public and institutions like commercial banks may subscribe to them
Criterion of maturity	***Redeemable Debt*** • Loans which the government promises to pay off at some future date (i.e. maturity date) • These are terminable loans and the Government has to make some arrangement for their repayment.	***Irredeemable Debt*** • Loans for which no promise is made by the government regarding the exact date of maturity, though they pay interest regularly for the bonds issued • These loans do not have a fixed maturity period and are for a longer duration, based on financial stability and convenience.
Purpose and the circumstances under which the debt is taken	***Funded Debt*** • A long-term debt, exceeding the duration of at least a year. • It comprises securities which are marketable on the stock exchange. • In these debts, the creditor bond-holder has no right to anything but the interest.	***Unfunded Debts*** • These debts have a comparatively short duration and are redeemable within a year. • They are incurred in anticipation of public revenue, which is a temporary measure to incur current needs.

Basis of classification	Types of Debt		
Duration of loan	***Short-term debts*** • These loans have a maturity of less than a year. • Treasury Bills (maturity of 91, 182 and 364 days) and Cash Management bills (<90 days) are instruments of credit, used as a means of short-term borrowing by the government, for covering temporary deficits in the budgets. • Interest rates on such loans are generally low.	***Medium-term debts*** • Medium-term loans are floated by the government, bearing intermediate maturity period (1 to 3 years usually) • These loans are generally preferred for war finance, to meet expenditure on education, health, relief work, etc.	***Long-term debts*** • Long-term debts are those repayable after a long period of time, generally, ten years or more. • For development finance, such loans are usually raised by the government and bear a high rate of interest.

Structure of the Internal Public Debt

The structure of the internal public debt constitutes various type of loan instruments and obligations of the Government:

- **Dated and non-terminable Rupee loans** consists of the following –
  - Marketable long-term loans,
  - Dated loans issued by the Government to the Reserve Bank of India in exchange for ad hoc Treasury Bills outstanding,
  - Miscellaneous debt such as the Prize Bonds issued in 1961



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- **Treasury Bills** — the short-term issues (91/ 182/ 364 days) of the Government in order to bridge the gap between revenue and expenditure.

- **Small Savings** — a non-inflationary source of finance — channelized through instruments such as Post Office Savings Bank Deposits, Cumulative Time Deposits, Post Office Recurring Deposits, National Defence Certificates, 15-year Annuity Certificates, National Savings Certificates, National Savings Annuity Scheme, National Development Banks, National Savings Account, Indira Vikas Patra, Kisan Vikas Patra.

- **Other miscellaneous obligations of the Central Government** - Compulsory Deposit Scheme, Gold Bonds, Public Provident Funds, and items of unfunded debts and special securities issued to the United States Embassy for the Rupee Counterpart funds since 1961, unclaimed balance of State Provident Funds, and other accounts such as General

Family Pension Fund, the Hindu Family Annuity Fund, the Postal Insurance, Life Insurance, Life Annuity Fund, etc. and unclaimed balance in respect of three-year Interest-free Prize Bonds.

Demerits of Public Debt

Though the public debt is inevitable for the smooth functioning of an economy, there are a couple of loopholes to it:

- ✓ Leads to increased taxation system, thereby putting a burden on the citizens of the country
- ✓ Adversely affects the growth and development of India
- ✓ Leads to excessive borrowing of India from IMF and World Bank
- ✓ Productive use of funds is not guaranteed

Conclusion

Public debt plays a crucial role in financing a government when estimated revenues fall short or total expenditure exceeds the government’s expenditure estimates or to meet emergencies like war, natural calamities and economic slowdown. While borrowing from the public can be an alternative to limiting spending and raising taxes, the interest payment on the national debt is a drain on the nation’s limited economic resources.

Yet, we as a nation, should judiciously use all our economic resources to ease the debt burden to the best optimum level, to achieve economic development.